

NEC (6701.T)

Raising GSe/TP substantially; high growth to continue in domestic IT despite dropout of large projects; defense/submarine cable demand continues to grow; memory impact minor; Buy

6701.T

12m Price Target: ¥6,000

Price: ¥4,645

Upside: 29.2%

We update our earnings estimates based on 1Q3/27 (Apr-Jun) results (see our 1Q [results report](#)). We raise our FY3/27-FY3/29 operating profit estimates by 8%/12%/14% (by 7%/10%/12% on an underlying basis excluding the CSG consolidation) to reflect domestic IT services, defense, and submarine cable demand growing more than expected and the consolidation of US-based CSG (acquisition completed in May). Reflecting the upward revision to our profit estimates, we raise our 12-month target price to ¥6,000, from ¥5,190 (implies FY3/28E P/E of 22X vs. sector average 18X).

We expect FY3/27 non-GAAP operating profits to substantially beat upwardly revised guidance. By business, we look for all segments to beat guidance except for network infrastructure, where the demand environment is soft. We think the beat will be driven in particular by domestic IT services, overseas IT services (the CSG consolidation effect is not factored into guidance), and aerospace and defense. While the impact of higher memory prices is still a concern, we believe the negative impact will not be as large as NEC assumes (a profit drag of ¥20 bn for the year), considering price pass-throughs and procurement lead times, as well as the company's low server sales ratio (c.5%).

Overall, in addition to the trend across the IT services industry (growing modernization demand), company-specific factors (margin improvement from exiting low-margin projects, and demand growth in defense and submarine cables) continue to drive growth, and we expect profit growth to continue to substantially outpace the sector average. We maintain our Buy rating.

Earnings estimates

We forecast FY3/27 operating profits of ¥452 bn (+26%/+¥92.1 bn yoy), maintaining double-digit (%) growth for the fifth

BUY

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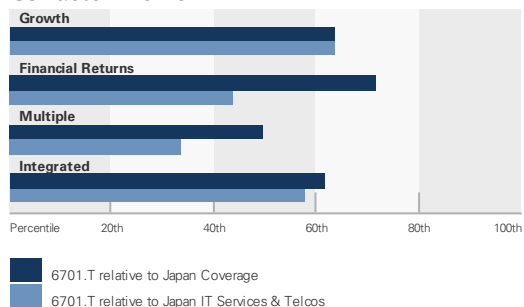
Key Data

Market cap: ¥6.2tr / \$38.8bn
Enterprise value: ¥5.8tr / \$36.7bn
3m ADTV: ¥32.0bn / \$199.1mn
Japan
Japan IT Services & Telcos
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	3,582.7	3,907.0	4,095.0	4,315.0
Op. profit (¥ bn) New	359.9	452.0	523.0	590.0
Op. profit (¥ bn) Old	359.9	419.0	467.0	518.0
Op. profit CoE (¥ bn)	—	405.0	—	—
EPS (¥) New	202.9	235.5	272.3	306.9
EPS (¥) Old	202.9	218.1	242.7	268.9
P/E (X)	22.3	19.7	17.1	15.1
P/B (X)	2.7	2.5	2.2	2.0
CROCI (%)	NM	NM	NM	NM
	6/26	9/26E	12/26E	3/27E
EPS (¥)	37.5	52.5	51.0	94.6

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

NEC (6701.T)

Rating since Dec 11, 2018

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	22.3	19.7	17.1	15.1
P/B (X)	2.7	2.5	2.2	2.0
FCF yield (%)	5.7	5.4	6.4	6.9
EV/EBITDAR (X)	11.6	9.6	8.0	6.8
EV/EBITDA (excl. leases) (X)	11.6	9.6	8.0	6.8
CROCI (%)	NM	NM	NM	NM
ROE (%)	13.0	13.4	13.8	13.9
Net debt/equity (%)	(5.8)	(16.2)	(26.3)	(34.8)
Net debt/equity (excl. leases) (%)	(5.8)	(16.2)	(26.3)	(34.8)
Interest cover (X)	—	22.6	26.2	29.5
Days inventory outst, sales	18.1	16.2	15.8	15.4
Receivable days	135.9	138.1	140.8	140.4
Days payable outstanding	139.7	140.2	145.0	146.0
DuPont ROE (%)	11.8	12.3	12.7	12.7
Turnover (X)	0.8	0.8	0.8	0.8
Leverage (X)	2.0	1.9	1.8	1.8
Gross cash invested (ex cash) (¥)	—	—	—	—
Average capital employed (¥)	2,169.9	2,139.7	2,115.4	2,091.4
BVPS (¥)	1,656.1	1,854.2	2,084.0	2,343.4

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	4.7	9.1	4.8	5.4
EBITDA growth	24.0	18.4	12.3	9.8
EPS growth	54.3	16.1	15.6	12.7
DPS growth	35.7	18.4	11.1	10.0
EBIT margin	10.0	11.6	12.8	13.7
EBITDA margin	14.4	15.6	16.7	17.4
Net income margin	7.5	8.0	8.8	9.4

Price Performance



Source: FactSet. Price as of 21 Aug 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	3,582.7	3,907.0	4,095.0	4,315.0
Cost of goods sold	(2,401.4)	(2,558.0)	(2,642.0)	(2,758.0)
SG&A	(805.6)	(895.0)	(930.0)	(967.0)
R&D	—	—	—	—
Other operating inc./exp.)	(15.8)	(2.0)	0.0	—
EBITDA	514.4	609.0	684.0	751.0
Depreciation & amortization	(154.5)	(157.0)	(161.0)	(161.0)
EBIT	359.9	452.0	523.0	590.0
Net interest inc./exp.)	0.0	(20.0)	(20.0)	(20.0)
Income/(loss) from associates	3.5	4.0	4.0	4.0
Pre-tax profit	398.2	452.0	523.0	590.0
Provision for taxes	(124.9)	(135.6)	(156.9)	(177.0)
Minority interest	(3.1)	(4.0)	(5.0)	(6.0)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	270.2	312.4	361.1	407.0
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	270.2	312.4	361.1	407.0
EPS (basic, pre-exception) (¥)	202.9	235.5	272.3	306.9
EPS (diluted, pre-exception) (¥)	198.1	229.0	264.7	298.3
EPS (basic, post-exception) (¥)	202.9	235.5	272.3	306.9
EPS (diluted, post-exception) (¥)	198.1	229.0	264.7	298.3
DPS (¥)	38.0	45.0	50.0	55.0
Div. payout ratio (%)	18.7	19.1	18.4	17.9

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	659.0	939.4	1,275.3	1,636.2
Accounts receivable	1,414.3	1,542.4	1,616.6	1,703.5
Inventory	171.2	175.0	180.0	185.0
Other current assets	214.5	220.0	225.0	230.0
Total current assets	2,459.1	2,876.8	3,296.9	3,754.7
Net PP&E	564.1	534.1	514.1	504.1
Net intangibles	819.4	792.4	761.4	730.4
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	624.2	630.0	635.0	640.0
Total assets	4,466.8	4,833.3	5,207.4	5,629.2
Accounts payable	939.9	1,025.0	1,074.3	1,132.0
Short-term debt	112.9	113.0	113.0	113.0
Short-term lease liabilities	—	—	—	—
Other current liabilities	511.2	520.0	530.0	540.0
Total current liabilities	1,564.0	1,658.0	1,717.3	1,785.0
Long-term debt	412.8	413.0	413.0	413.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	208.1	218.0	228.0	238.0
Total long-term liabilities	620.9	631.0	641.0	651.0
Total liabilities	2,184.9	2,289.0	2,358.3	2,436.0
Preferred shares	—	—	—	—
Total common equity	2,196.6	2,459.3	2,764.1	3,108.2
Minority interest	85.3	85.0	85.0	85.0
Total liabilities & equity	4,466.8	4,833.3	5,207.4	5,629.2
Net debt, adjusted	(133.3)	(413.4)	(749.3)	(1,110.2)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	398.7	452.0	523.0	590.0
D&A add-back	154.5	157.0	161.0	161.0
Minority interest add-back	3.1	4.0	5.0	6.0
Net (inc)/dec working capital	(138.8)	(46.8)	(29.9)	(34.2)
Other operating cash flow	20.9	(116.5)	(136.9)	(159.0)
Cash flow from operations	438.5	449.8	522.2	563.8
Capital expenditures	(91.6)	(110.0)	(120.0)	(130.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	125.2	—	—	—
Cash flow from investing	33.7	(110.0)	(120.0)	(130.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(41.7)	(59.7)	(66.3)	(72.9)
Inc/(dec) in debt	(219.9)	0.3	—	—
Other financing cash flows	(156.3)	0.0	0.0	0.0
Cash flow from financing	(418.0)	(59.4)	(66.3)	(72.9)
Total cash flow	54.2	280.4	335.9	360.9
Free cash flow	346.9	339.8	402.2	433.8

Source: Company data, Goldman Sachs Research estimates.

consecutive term, and non-GAAP operating profits (operating profits, plus amortization of intangible fixed assets of acquired companies, plus restructuring costs and gains/losses on business divestments) of ¥500 bn (+26%/+¥102.8 bn yoy). We therefore see a substantial beat to upwardly revised guidance (¥430 bn).

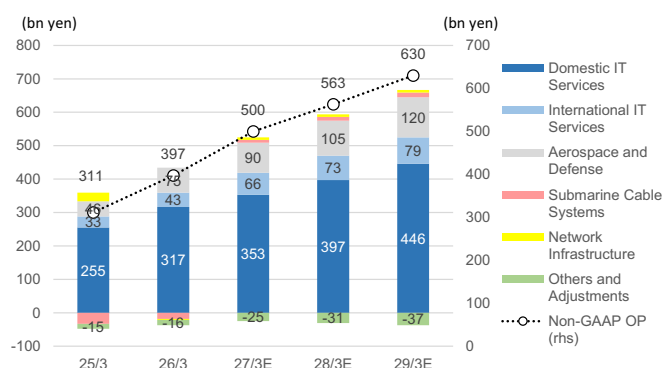
The +¥70 bn beat versus guidance is mainly due to domestic IT services (+¥24 bn vs. guidance), where demand growth, centered on enterprise/public sectors, and margin improvement continue; overseas IT services (+¥14 bn), which will see the consolidation of US-based CSG; aerospace and defense (+¥9 bn) and submarine cable systems (+¥4 bn), where demand is expanding more than expected; other businesses (+¥3 bn), where subsidiaries are performing well; and adjustments (+¥22 bn), where a risk buffer will likely go unutilized. We only expect network infrastructure (-¥6 bn) to miss guidance, given soft telecom investment by major customers.

The reason for the large beat in adjustments versus guidance is somewhat technical. In guidance, the negative impact of higher memory prices is booked under adjustments (c.¥20 bn), but when the impact actually materializes, that amount is booked under domestic IT services. Therefore, compared to guidance, actual results tend to fall short in domestic IT services and exceed expectations in adjustments. Even taking this into account, we believe domestic IT services will significantly beat guidance. We assume the impact of higher memory prices will be c.¥8 bn (versus company assumption of ¥20 bn).

On a yoy basis, we expect the substantial profit increase to be driven by domestic IT services (led by enterprise), overseas IT services (mainly the CSG consolidation), aerospace and defense (defense expansion), submarine cable systems (demand growth + dropout of one-time costs), and network infrastructure (dropout of one-time costs) (Exhibit 1). For the next three years (FY3/26-FY3/29E), we forecast a CAGR of +18% for operating profits and +17% for non-GAAP operating profits. We therefore expect profit growth to continue to substantially outpace the sector average (c.8%). We discuss details by business below.

Exhibit 1: High profit growth likely to continue, driven mainly by domestic IT services/aerospace and defense (Non-GAAP OP: +17% CAGR)

Non-GAAP operating profit/loss estimates by business



Non-GAAP operating profits = operating profits, plus amortization of intangible fixed assets of acquired companies, plus restructuring costs and gains/losses on business divestments

Source: Company data, Goldman Sachs Global Investment Research

One-time factors

NEC has a large number of one-time factors such as gains on asset sales and restructuring costs. The newly disclosed non-GAAP operating profits largely exclude these one-time factors, whereas GAAP operating profits are affected by them. One-time factors that occurred in FY3/26 (which will drop out in FY3/27) are as follows.

- **Domestic IT services:** ¥1.5 bn gain on share sales (1Q3/26), ¥4 bn gain on sale of POS business (2Q3/26), ¥2.5 bn in subsidiary restructuring costs (4Q3/26).
- **Overseas IT services:** ¥2 bn in subsidiary restructuring costs (4Q3/26).
- **Submarine cable systems:** ¥10 bn/¥2 bn/¥9 bn in submarine cable quality countermeasure costs (2Q-4Q3/26); we assume ¥3 bn will be incurred in FY3/27.
- **Network infrastructure:** ¥18 bn in costs to withdraw from the base station business (3Q3/26; portion excluded from non-GAAP operating profits is ¥10 bn), ¥5 bn loss in the base station business (full-year FY3/26).
- **Others:** ¥2.5 bn in IP earnings (4Q3/26), ¥1 bn in IP earnings (1Q3/27).
- **Unprofitable projects (not excluded from non-GAAP operating profits):** The FY3/26 result was ¥23.2 bn (domestic IT ¥13.2 bn/overseas IT ¥5 bn/social infrastructure ¥5 bn). Since provisions have already been made for these projects, we assume they will decrease by c.¥11 bn yoy in FY3/27 (zero in 1Q3/27).

Quarterly earnings outlook

On a quarterly basis, **we forecast 2Q (Jul-Sep) operating profits/non-GAAP operating profits of ¥100.5 bn (+21% yoy)/¥111.5 bn (+27% yoy). We expect domestic IT services, overseas IT services, and submarine cable systems to drive profit growth.** In domestic IT services (+¥8.7 bn yoy), the impact of the dropout of large public sector projects will increase compared to 1Q, and the gain on the sale of the POS business (¥4 bn) will drop out, so the profit increase will likely shrink, but we expect strong earnings to continue centered on enterprise. In overseas IT services (+¥5.8 bn yoy), the full consolidation of CSG will contribute, and in submarine cable systems (+¥9.8 bn yoy), we expect quality countermeasure costs to drop out by c.¥9 bn. We expect the adjustment item accounting for the difference between operating profits and non-GAAP operating profits to be ¥11 bn, representing a decrease compared to 1Q (¥16 bn), because although amortization of intangible assets for CSG will be newly added, M&A-related expenses for CSG (¥7.5 bn) incurred in 1Q will drop off. We calculate the amortization of intangible fixed assets for CSG using a PPA ratio of 50% and an amortization period of 15 years.

Earnings outlook by business

- **Domestic IT services:** We forecast FY3/27 non-GAAP operating profits of ¥353 bn (+11%/+¥36.4 bn yoy/+¥24 bn vs. guidance). The impact of the dropout of large public sector projects (local government standardization and fire/disaster prevention wireless systems) will likely be a profit drag of over ¥30 bn (with the largest impact in 4Q), but we believe the business will continue to drive company-wide earnings, given strong modernization demand mainly in the financial and government sectors, and ongoing margin improvement from exiting low-margin

projects (non-GAAP OPM +1.5 pp yoy). Demand for consulting to support AI implementation and security measures is also beginning to expand. Because AI-driven development is still in the early stages of its initiatives, we have not factored it into our earnings estimates, and we will watch progress as a potential upside factor.

- **Overseas IT services:** We forecast FY3/27 non-GAAP operating profits of ¥66 bn (+54%/+¥23.2 bn yoy/+¥14 bn vs. guidance). The majority of the profit increase comes from the consolidation of CSG (c.¥22 bn). Excluding this impact, we expect profits to increase only slightly on an underlying basis in light of the soft demand environment in Europe.
- **Aerospace and defense:** We forecast FY3/27 non-GAAP operating profits of ¥90 bn (+20%/+¥15.1 bn yoy/+¥9 bn vs. guidance). The profit increase will continue to be driven by the defense business, in our view. Considering the order environment, we see upside potential to guidance, and in yoy terms, we look for demand growth for defense IT systems, networks, and sensors alike. Thanks to the leveling of quarterly utilization rates, profits expanded rapidly yoy in 1Q. While the profit growth rate will slow in 2Q-4Q due to the impact of this leveling, we expect high growth on a full-year basis. In the short term, we will be watching the initial budget requests for the first year of the next five-year plan for the defense budget.
- **Submarine cable systems:** We forecast FY3/27 non-GAAP operating profits of ¥8 bn (+¥26.5 bn yoy improvement (return to profit)/+¥4 bn vs. guidance). We expect a return to profit as quality countermeasure costs decrease (a profit boost of c.¥18 bn) and two large-scale projects in Southeast Asia grow. The company is transitioning to a pricing structure that passes quality countermeasure costs onto product prices, and the project mix is improving. Since two projects under the old pricing structure currently remain, we assume quality countermeasure costs of ¥3 bn (¥21 bn in FY3/26), but if no additional costs are incurred, this would be an upside factor for our earnings estimates.
- **Network infrastructure:** We forecast FY3/27 non-GAAP operating profits of ¥8 bn (+¥10.9 bn yoy improvement (return to profit)/-¥6 bn vs. guidance). We expect a return to profit as ¥10 bn in costs to withdraw from the base station business and a ¥5 bn loss in the base station business drop out, but on an underlying basis excluding these impacts, we expect profits to decline. The demand environment remains soft, with little movement in investment in vRAN (virtualized base stations) by major domestic customers. We believe this trend will remain unchanged for the time being.
- **Others/adjustments:** We forecast FY3/27 non-GAAP operating profits in other businesses of ¥7 bn (+52%/+¥2.4 bn yoy/+¥3 bn vs. guidance). We expect solid results centered on subsidiaries (such as NEC Facilities). We forecast adjustments of -¥32 bn (-¥11.8 bn yoy/+¥22 bn vs. guidance). We book the impact of higher memory prices under domestic IT services (booked under adjustments in guidance), and assume a risk buffer of ¥5 bn (company assumption is ¥10 bn) in light of progress.

Exhibit 2: FY3/27 non-GAAP operating profits to substantially beat guidance (¥430 bn) at ¥500 bn; expect OP CAGR of +18% over the next 3 years
P/L

(in million yen)			GSE	GSE	GSE	CoE	26/3					27/3	GSE
6701 NEC	25/3	26/3	27/3	28/3	29/3	27/3	Q1	Q2	Q3	Q4		Q1	Q2E
<P/L>													
Sales	3,423,431	3,582,733	3,907,000	4,095,000	4,315,000	3,540,000	715,658	854,121	852,538	1,160,416	819,774	935,000	
y-y	-1.5%	4.7%	9.1%	4.8%	5.4%	-1.2%	3.7%	7.3%	2.1%	5.3%	14.5%	9.5%	
Gross Profit	1,060,556	1,181,296	1,349,000	1,453,000	1,557,000		216,188	273,063	272,639	419,406	268,363	313,500	
yoy	5.4%	11.4%	14.2%	7.7%	7.2%		13.7%	17.1%	-2.1%	16.9%	24.1%	14.8%	
% of sales	31.0%	33.0%	34.5%	35.5%	36.1%		30.2%	32.0%	32.0%	36.1%	32.7%	33.5%	
Selling General and Administrative Expenses	777,424	805,555	895,000	930,000	967,000		183,681	191,841	199,399	230,634	208,359	213,000	
yoy	-4.5%	3.6%	11.1%	3.9%	4.0%		-0.2%	-0.8%	5.4%	9.4%	13.4%	11.0%	
% of sales	22.7%	22.5%	22.9%	22.7%	22.4%		25.7%	22.5%	23.4%	19.9%	25.4%	22.8%	
Other Gains and Losses	-26,635	-15,828	-2,000	0	0		2,882	1,959	-6,649	-14,020	-1,234	0	
Operating profits	256,497	359,913	452,000	523,000	590,000		35,389	83,181	66,591	174,752	58,770	100,500	
y-y	36.4%	40.3%	25.6%	15.7%	12.8%		7.8x	2.1x	-18.3%	34.1%	66.1%	20.8%	
% of sales	7.5%	10.0%	11.6%	12.8%	13.7%		4.9%	9.7%	7.8%	15.1%	7.2%	10.7%	
Adjustment cost	30,662	26,914	43,300	40,000	40,000		6,326	6,697	7,833	6,058	13,222	10,000	
Adjusted Operating Profit	287,159	386,827	495,300	563,000	630,000		41,715	89,878	74,424	180,810	71,992	0	
y-y	28.4%	34.7%	28.0%	13.7%	11.9%		3.3x	85.9%	-16.6%	32.1%	72.6%	-100.0%	
% of sales	8.4%	10.8%	12.7%	13.7%	14.6%		5.8%	10.5%	8.7%	15.6%	8.8%	0.0%	
Non-GAAP Adjustment	24,142	10,407	4,700	0	0		-1,720	-2,384	7,958	6,553	2,746	1,000	
Non-GAAP Operating Profit	311,301	397,234	500,000	563,000	630,000	430,000	39,995	87,494	82,382	187,363	74,738	111,500	
y-y	36.8%	27.6%	25.9%	12.6%	11.9%	8.2%	2.5x	80.2%	-15.5%	25.8%	86.9%	27.4%	
% of sales	9.1%	11.1%	12.8%	13.7%	14.6%	12.1%	5.6%	10.2%	9.7%	16.1%	9.1%	11.9%	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: All segments except network infrastructure to beat guidance; yoy growth to be driven by domestic IT, overseas IT, defense, and submarine cable systems

Earnings by business

(in million yen)	25/3	26/3	GSE 27/3	GSE 28/3	GSE 29/3	CoE 27/3	26/3 Q1	Q2	Q3	Q4	27/3 Q1	GSE Q2
6701 NEC												
Sales and earnings by segment												
I IT Services												
Sales	2,676,700	2,736,100	2,957,000	3,085,000	3,245,000	2,625,000	567,123	647,800	658,000	863,100	621,456	710,000
y-y	-	2.2%	8.1%	4.3%	5.2%	-4.1%	2.6%	2.5%	2.9%	1.3%	9.6%	9.6%
% of sales	78.2%	76.4%	75.7%	75.3%	75.2%	74.2%	79.2%	75.8%	77.2%	74.4%	75.8%	75.9%
Non-GAAP Operating Profit	288,100	359,300	419,000	470,000	525,000	381,000	40,819	82,400	82,100	153,900	57,803	97,000
y-y	-	24.7%	16.6%	12.2%	11.7%	6.0%	113.7%	61.9%	11.2%	6.7%	41.6%	17.7%
% of sales	10.8%	13.1%	14.2%	15.2%	16.2%	14.5%	7.2%	12.7%	12.5%	17.8%	9.3%	13.7%
(1) Domestic IT Services												
Sales	2,253,900	2,301,000	2,310,000	2,420,000	2,560,000	2,175,000	468,400	544,200	545,600	742,800	477,200	550,000
y-y	-	2.1%	0.4%	4.8%	5.8%	-5.5%	4.5%	2.6%	1.7%	0.5%	1.9%	1.1%
% of sales	84.2%	84.1%	78.1%	78.4%	78.9%	82.9%	82.6%	84.0%	82.9%	86.1%	76.8%	77.5%
Non-GAAP Operating Profit	255,300	316,600	353,000	397,000	446,000	329,000	32,000	71,300	68,500	144,800	45,300	80,000
y-y	-	24.0%	11.5%	12.5%	12.3%	3.9%	204.8%	57.4%	4.7%	7.9%	41.6%	12.2%
% of sales	11.3%	13.8%	15.3%	16.4%	17.4%	15.1%	6.8%	13.1%	12.6%	19.5%	9.5%	14.5%
(2) International IT Services												
Sales	422,800	435,100	647,000	665,000	685,000	450,000	98,700	103,600	112,400	120,400	144,300	160,000
y-y	-	2.9%	48.7%	2.8%	3.0%	3.4%	-5.8%	1.6%	9.4%	6.2%	46.2%	54.4%
% of sales	15.8%	15.9%	21.9%	21.6%	21.1%	17.1%	17.4%	16.0%	17.1%	13.9%	23.2%	22.5%
Non-GAAP Operating Profit	32,700	42,800	66,000	73,000	79,000	52,000	8,900	11,200	13,600	9,200	12,500	17,000
y-y	-	30.9%	54.2%	10.6%	8.2%	21.5%	3.5%	96.5%	60.0%	-8.0%	40.4%	51.8%
% of sales	7.7%	9.8%	10.2%	11.0%	11.5%	11.6%	9.0%	10.8%	12.1%	7.6%	8.7%	10.6%
II Social Infrastructure												
Sales	615,400	708,400	800,000	860,000	920,000	780,000	120,383	176,000	160,600	251,300	165,278	191,000
y-y	-	15.1%	12.9%	7.5%	7.0%	10.1%	13.1%	26.9%	-0.9%	20.8%	37.3%	8.5%
% of sales	18.0%	19.8%	20.5%	21.0%	21.3%	22.0%	16.8%	20.6%	18.8%	21.7%	20.2%	20.4%
Non-GAAP Operating Profit	38,000	53,400	106,000	124,000	142,000	99,000	3,046	10,700	3,000	36,600	16,087	21,500
y-y	-	40.5%	98.5%	17.0%	14.5%	85.4%	N.M.	269.0%	-87.2%	142.4%	428.1%	100.9%
% of sales	6.2%	7.5%	13.3%	14.4%	15.4%	12.7%	2.5%	6.1%	1.9%	14.6%	9.7%	11.3%
(1) Aerospace and Defense												
Sales	376,500	478,400	560,000	610,000	660,000	545,000	74,100	123,000	109,300	172,100	110,800	135,000
y-y	-	27.1%	17.1%	8.9%	8.2%	13.9%	31.9%	65.8%	-1.9%	27.7%	49.5%	9.8%
% of sales	61.2%	67.5%	70.0%	70.9%	71.7%	69.9%	61.6%	69.9%	68.1%	68.5%	67.0%	70.7%
Non-GAAP Operating Profit	45,800	74,900	90,000	105,000	120,000	81,000	4,500	19,100	16,800	34,400	13,700	20,000
y-y	-	63.5%	20.2%	16.7%	14.3%	8.1%	50.0%	213.1%	1.2%	71.1%	204.4%	4.7%
% of sales	12.2%	15.7%	16.1%	17.2%	18.2%	14.9%	6.1%	15.5%	15.4%	20.0%	12.4%	14.8%
(2) Submarine Cable Systems												
Sales	48,700	71,200	100,000	110,000	120,000	100,000	15,100	15,600	17,700	22,800	23,000	23,000
y-y	-	46.2%	40.4%	10.0%	9.1%	40.4%	-13.7%	-26.8%	532.1%	221.1%	52.3%	47.4%
% of sales	7.9%	10.1%	12.5%	12.8%	13.0%	12.8%	12.5%	8.9%	11.0%	9.1%	13.9%	12.0%
Non-GAAP Operating Profit	-33,300	-18,500	8,000	11,000	14,000	4,000	-1,500	-8,300	-1,700	-7,000	2,800	1,500
y-y	-	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.
% of sales	-68.4%	-26.0%	8.0%	10.0%	11.7%	4.0%	-9.9%	-53.2%	-9.6%	-30.7%	12.2%	6.5%
(3) Network Infrastructure												
Sales	190,200	158,700	140,000	140,000	140,000	135,000	31,200	37,400	33,600	56,400	31,400	33,000
y-y	-	-16.6%	-11.8%	0.0%	0.0%	-14.9%	-4.9%	-13.6%	-29.9%	-14.8%	0.6%	-11.8%
% of sales	30.9%	22.4%	17.5%	16.3%	15.2%	17.3%	25.9%	21.3%	20.9%	22.4%	19.0%	17.3%
Non-GAAP Operating Profit	25,500	-2,900	8,000	8,000	8,000	14,000	0	-100	-12,100	9,300	-400	0
y-y	-	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	5.7%	N.M.	N.M.
% of sales	13.4%	-1.8%	5.7%	5.7%	5.7%	10.4%	0.0%	-0.3%	-36.0%	16.5%	-1.3%	0.0%
III Others												
Sales	131,400	138,300	150,000	150,000	150,000	135,000	28,152	30,300	33,800	46,000	33,040	34,000
y-y	-	5.3%	8.5%	0.0%	0.0%	-2.4%	-8.6%	18.8%	-0.3%	11.7%	17.4%	12.2%
% of sales	3.8%	3.9%	3.8%	3.7%	3.5%	3.8%	3.9%	3.5%	4.0%	4.0%	4.0%	3.6%
Non-GAAP Operating Profit	3,900	4,600	7,000	7,000	7,000	4,000	364	100	800	3,400	3,393	1,000
y-y	-	17.9%	52.2%	0.0%	0.0%	-13.0%	-85.4%	-75.0%	-46.7%	N.M.	832.1%	900.0%
% of sales	3.0%	3.3%	4.7%	4.7%	4.7%	3.0%	1.3%	0.3%	2.4%	7.4%	10.3%	2.9%
IV Adjustments												
Non-GAAP Operating Profit	-18,600	-20,200	-32,000	-38,000	-44,000	-54,000	-4,234	-5,700	-3,600	-6,700	-2,545	-8,000

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis and Price Target Risks and Methodology: NEC

Investment Thesis - NEC

We are Buy rated on NEC, Japan's leading systems integrator. The company handles software, hardware, and networking, and provides IT services that combine all three. NEC has strong technological capabilities in large-scale system development, networks (particularly base stations), AI, biometrics, and security. In the medium term, we think earnings will be driven by legacy system modernization projects amid the DX trend, and by the aerospace & national security (ANS) business, where orders are robust. We look for profit growth to outpace the sector average in the medium term. Given our expectation for profit growth to outpace the sector, valuations relative to peers look

compelling to us.

Price Target Risks and Methodology - NEC

Our 12-month target price of ¥6,000 is based on our FY3/28E EPS of ¥272 and a target P/E of 22X. Our target P/E is derived from (1) a P/E of 21-22X for the IT services business, which is a 20% premium to the average of 18.0X for the IT services sector, and (2) a P/E of c.21X for the hardware business, which is the sector average for major electronics companies. We then take a weighted average of these two multiples, based on the company's sales weightings, with a 90% weighting for IT services and a 10% weighting for hardware. We apply a premium to the average for the IT services sector because we look for profit growth above the sector average over the medium term, driven by growing demand for backbone systems and margin improvement from tackling low-margin projects, as well as structural expansion in defense business. Key risks include lower corporate IT investment appetite, higher-than-expected increases in component costs, delays in price pass-through, and opportunity losses due to procurement delays, and the emergence of unprofitable projects.

Disclosure Appendix

Reg AC

We, Chikai Tanaka, CFA and Yuki Sato, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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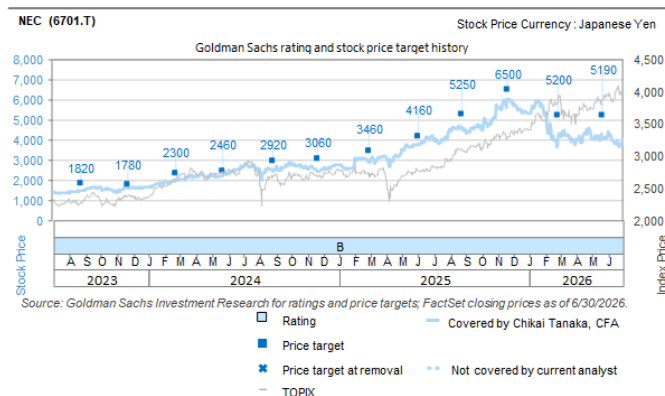
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Goldman Sachs Investment Research global Equity coverage universe

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Target price history table(s)

NEC (6701.T)

Date of report	Target price (¥)	Closing price (¥)
22-May-26	5,190	4,105
25-Feb-26	5,200	3,760
21-Nov-25	6,500	6,074
25-Aug-25	5,250	4,582
02-Jun-25	4,160	3,809
28-Feb-25	17,300	2,893
22-Nov-24	15,300	2,453
28-Aug-24	14,600	2,444
22-May-24	12,300	2,240
22-Feb-24	11,500	1,976
22-Nov-23	8,900	1,617
24-Aug-23	9,100	1,499

Price targets shown in table(s) are unadjusted for corporate actions.

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